

PSFE pitch deck

PITCH — PSFE — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no standing price gate; the name reopens only on named Q3 evidence, and our own two benches each got material numbers wrong.

What we believe

Paysafe is a payments company (the Skrill, NETELLER and paysafecard wallets, plus a merchant-processing arm) whose stock has fallen 54% from its 52-week high to \$6.87. What makes it interesting is not the fall — it is the shape of the balance sheet. The company carries about \$2.27 billion of net debt against roughly \$359 million of stock market value. That is about 6.4 dollars of debt for every dollar of equity. In that structure the stock is a thin slice at the top: small changes in the business, or in the debt, move the stock several times as much.

The original case for owning it was simple. The company throws off real cash. If it pays that cash to lenders, the debt shrinks, and everything that comes off the debt lands on the thin equity slice. Management has publicly framed it that way — roughly \$200 million of debt reduction is \$3–4 per share on a \$6.87 stock.

Having run this through both benches, here is what we actually believe now:

1. **The cash is real and it did reach shareholders in the first half.** Total debt fell from \$2,605M to \$2,499M, net debt fell about \$82 million in six months (roughly 23% of the entire market value of the equity), and the company also bought back \$13.0 million of its own stock. This is not a story where lenders take everything.
2. **The engine stalled in the most recent quarter.** In Q1 the company generated \$42.3M of cash after capital spending. In Q2 it generated *negative* \$6.1M (operating cash \$25.3M against capital spending of \$31.4M, which jumped 45% quarter-on-quarter). Leverage went the wrong way, from 5.2x to 5.3x.
3. **The wallet business is shrinking on the audited numbers.** Customer account balances — money customers hold with Paysafe — fell from \$1,095.1M to \$983.8M, down 10.2% in six months. That is the same segment whose profit margin fell 4.9 percentage points.
4. **The refinancing on 12 August 2026 bought time but cost money.** Maturities were pushed out to June 2030 (term loans) and August 2031 (revolver), clearing a 2028 wall. In exchange, interest went up, and the company cut its own earnings-per-share guidance to pay for it.

So: a genuinely cheap, genuinely cash-generative business, where the two most recent data points both point down, and where we have no view that differs from the market's on the number that decides the next six months. **We do not own it and we are not bidding for it.**

What the market believes

The market is pricing roughly 3.5x this year's guided adjusted earnings per share and about 5.8x enterprise value to guided profit. That is a price that says one of two things: either the debt eventually eats the equity, or the wallet business is in structural decline and this year's profit is the high-water mark.

The market also believes management's guidance. Analysts anchor their full-year profit estimate to the company's own range of \$449–464 million. So does our brief. There is no gap between our number and the street's number, because we never built our own number — more on that below, because it is our failure, not a fact about the stock.

Insiders have been selling into this. Rule 144 notices were filed on 26 June 2026 and 14 August 2026, and a Form 4 on 17 August 2026 shows sales at a \$6.58 average price ([SEC Form 4](#)). On a \$359 million company, programmatic insider selling is a meaningful share of daily volume.

Why we might have edge

Three places where we could plausibly know something the average holder does not:

- **The quarterly split.** Most coverage reported the first-half cash flow as one number (\$89.2M operating cash, \$53.0M capex, \$36.2M free cash). Split by quarter, the second quarter was cash-negative. Anyone reading the half-year aggregate would miss that the trend inverted. Our own red bench made exactly this mistake; the blue bench caught it.
- **The customer-balance line.** The 10.2% drop in customer account balances sits on the balance sheet, not in the press-release highlights. It is harder evidence about wallet health than any of the third-party proxies we ran.
- **The currency and hedging plumbing.** About €478.4 million (roughly \$560M) of the \$2.5 billion debt stack is euro-denominated. On a stub this thin, a 10% move in the euro is worth roughly \$0.85–1.10 per share — 12 to 16% of the equity value — with no company news at all. Most holders of a \$6.87 payments stock are not modelling that.

That is the honest list. None of it is a reason to buy today; all of it is a reason to be the fastest reader of the Q3 filing.

Why it might be priced in

- **The cheapness is not a secret.** A 54% drawdown to 3.5x earnings is the market saying it has seen the leverage. “Cheap on a levered stub” is the most crowded trade in small-cap value.
- **We have no independent estimate.** The second-half profit bar our brief cited (\$247–262M) is nothing more than the company's guidance minus the first half that already printed. It is arithmetic. Neither bench produced an independent forecast, so we cannot claim to see a gap the street doesn't.

- **The most recent quarter went the wrong way in public.** Negative free cash flow and rising leverage were both disclosed on 13 August. The stock has traded since. Whatever we “discovered” in the quarterly split has had eight trading days to be discovered by everyone else.
- **The insider selling is visible on EDGAR** and is a known overhang, not a hidden one.
- **The price gate problem.** With 6.4x leverage, the stock moves several percent on market-wide sentiment alone. A standing buy order at a lower price would fire on a bad day for the market, not on news about Paysafe. Both benches independently refused to set one, and we agree.

What we checked ourselves

Including — deliberately — every place our own benches got it wrong.

Claim	How checked	Found	Confirmed?
Our brief: 62.2M shares, \$427M market value	XBRL share counts + Q2’26 press release	52.22M outstanding, 52.3M weighted diluted, ~\$359M market value	No — our brief was wrong. Both benches corrected it
Our brief: “full-year guidance reaffirmed”	Read the Q1 and Q2 releases side by side	Revenue and profit ranges held; adjusted EPS cut from \$2.12–2.32 to \$1.90–2.03 to pay for refinancing interest	No — our brief was wrong. Guidance was cut below the interest line
Red bench: this is a “venue-divergent disclosure” event	Counted the venues	One press release, one table, one day. Reaffirming one metric and cutting another in the same table is ordinary hierarchical disclosure	No — red’s tag was wrong. At most a review flag
Our brief: interest step-up is \$25M/year	Arithmetic on the EPS cut	$\$0.255 \times \sim 53\text{M shares} \approx \13.5M over a ~4.6-month stub. Red annualized this to \$36–48M/yr	Partly. \$25M understates, but red’s stub contains a one-time fee write-off, so annualizing it double-counts. Honest range: \$25–45M/yr
Red bench: “net debt is flat in dollars, buyback is dormant”	Read the cash-flow statement	Debt \$2,605M → \$2,499M; \$79.1M net repayments; net debt down ~\$82M in six months; \$13.0M of stock repurchased	No — red was wrong. This was red’s load-bearing kill and half of it is false
Red bench: ~7%/year dilution	Pulled the 12-month share history	Share count fell 59.3M → 52.3M over the year (-11.8%). It rose 2.1% in one vesting-heavy quarter	No — red annualized a base effect, the exact error red accused our brief of
Our brief: “de-rated slightly less than its cohort”	Checked what was being compared to what	We compared <i>our</i> enterprise-value drawdown (-16.1%) to a <i>cohort equity</i> drawdown (-21%). Different denominators; the comparison can invert the sign	No — our brief was wrong. Red caught this correctly
Red bench: euro debt against dollar earnings	Checked where the earnings are actually earned	Skrill, NETELLER and paysafecard earn substantially in euros, which partly hedges euro debt. Neither bench produced the currency-of-earnings split	Unresolved. Red asserted more than it showed; the exposure is real but

Claim	How checked	Found	Confirmed?
			smaller than red claimed
Red bench: a second interest step-up lands at swap expiry (Dec-2027, Mar-2028)	Checked which loans the swaps hedge	The swaps hedged loans retired in the 12 August refinancing	No as a schedule. It is a hypothesis, not a dated event
Free cash flow trend	Recomputed quarter by quarter instead of using the half-year total	Q1 +\$42.3M, Q2 -\$6.1M ; capex +45% QoQ; leverage 5.2x → 5.3x	Yes — and this is now the core bear case. Red's aggregate hid the mix
Wallet health	Q2'26 balance sheet	Customer account balances \$1,095.1M → \$983.8M, -10.2% in six months	Yes on the fact. Seasonality not controlled, so attribution to attrition is only plausible
App-review deterioration	Ran the app-review connector	Skrill 2.18 recent vs 4.59 lifetime; NETELLER 1.80 vs 4.33 at 0.0 reviews/day; paysafecard unresolved	Plausible only — under one review a day is too thin a base. Superseded by the balance-sheet number above
A 42-posting August hiring spike	Opened the actual posting	It was Paysend , a different company (Treasury Manager, London). Name collision	No — unusable. Red caught the contamination and blue sustained it
The second-half profit bar of \$247–262M	Checked whether it is our estimate	It is company guidance minus reported first half. Pure arithmetic	Not our number. Neither bench built an independent estimate — a work gap on both
Next earnings date 12 November 2026	Checked company IR page and filings	Derived from a data vendor. No company release names it	Not confirmed
Trading liquidity and short interest	Attempted retrieval; broker access unavailable this session	Not retrieved	No — and this blocks position sizing. Both benches flagged it; neither closed it
Refinancing extended maturities	Q2'26 press release	Term loans to June 2030, revolver to August 2031; the 2028 wall is gone	Yes — bullish, and both benches initially missed it. For a thin equity slice, extra time is itself the asset

Primary sources: [Paysafe Q2 2026 results](#) · [Paysafe Q1 2026 results](#) · [Form 4, 17 Aug 2026](#)

PROPOSED ENTRY BANDS

Both benches say no entry, and no price gate at any level. Their reasoning, which we adopt: with 6.4x leverage the stock's day-to-day moves are dominated by the overall market, so a resting buy

order below the market would be filled by a bad tape rather than by anything happening at Paysafe. Buying a levered stub because it got cheaper is buying beta and calling it research.

So what follows are **reopen conditions, not entry bands**.

Reopen requires all three of these at the Q3 report (both benches converged on this list):

#	Test	Threshold	Where it is read
1	Debt actually falls in dollars again	Net debt down a further ≥\$40M by the Q3 balance sheet (red's stricter version: ≥\$75M by 31 Dec 2026)	Q3 6-K balance sheet
2	The cash engine restarts	Quarterly operating cash less capital spending back above +\$30M , with customer-settlement money movements shown separately so we can tell operating cash from timing (red's stricter version: ≥\$60M)	Q3 6-K cash-flow statement
3	The wallet stops shrinking	Customer account balances stabilise (no further material decline from \$983.8M) and digital-wallet profit margin recovers above 36.2%	Q3 6-K balance sheet + segment table

Two supporting conditions, not strictly required but strongly weighted: share count flat-to-down versus 52.22M at Q3 (red's test (c)); and a company release that names the Q3 date *and* reaffirms adjusted earnings per share alongside profit, not just profit.

If and only if all three pass — proposed first tranche: a starter of **0.25–0.50% of the book**, bought at whatever price prevails on the day the evidence lands, in a ladder capped at 1% of average daily volume. **This size is not yet authorised**, because neither bench could retrieve average daily volume or short interest, and our own rule forbids sizing a small-cap position without knowing what we can sell. Closing that gap is a prerequisite, not a formality. *(The 0.25–0.50% figure is my proposal for adjudication, derived from the benches' 5/10 court-worthiness and the unclosed liquidity gap — neither bench authored a size.)*

Add levels: none proposed. A second tranche should be earned by a second passing quarter, not by a lower price.

Exits/trims: not applicable — there is no position.

If any of the three tests fails at Q3: no re-court until Q4, and the name reverts to monitoring only.

Catalyst dates:

Date	What	Confirmed?
2026-11-12	Expected Q3 2026 report — the entire decision rests on this filing	No — vendor-derived; no company release names it
2026-12-31	Management's stated year-end leverage target of 5.1–5.2x; the pass/fail on the deleveraging story	Yes (target stated by management)

Date	What	Confirmed?
2027-12-31 / 2028-03-31	Interest-rate swap expiries in the filing's tags. Red called these a second interest step-up; blue showed they hedged loans that were already retired	Dates confirmed; the step-up is a hypothesis, not a schedule
2030-06 / 2031-08	Term loan and revolver maturities after the 12 Aug refinancing — the 2028 wall is cleared	Yes

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 6-K until 2027-02-17 (deck-provisional: Q3 2026 report is the sole decision event: net debt change, quarterly OCF-less-capex, customer account)
- dated pack PSFE|2026-11-12: PSFE: expected Q3 2026 results — the entire reopen decision rests on this filing (date confirmed=False)
- dated pack PSFE|2026-12-31: PSFE: management's stated year-end net leverage target of 5.1-5.2x; red's stricter test is net debt down $\geq$ \$75M in dollars by this date (date confirmed=False)
- dated pack PSFE|2027-12-31: PSFE: 1M-SOFR interest-rate swap expiry per 6-K XBRL tags; blue showed these hedged retired loans, so a step-up is a hypothesis not a schedule
- dated pack PSFE|2028-03-31: PSFE: second 1M-SOFR swap expiry per 6-K XBRL tags; same caveat as above (date confirmed=True)
- dated pack PSFE|2030-06-30: PSFE: term loan maturity after the 2026-08-12 refinancing; the 2028 wall was retired (date confirmed=True)

What remains unverified

- **Trading liquidity and short interest.** Not retrieved by either bench. This blocks sizing outright and is the main reason the blue bench held its own conviction at 7/10 rather than higher.
- **Any independent second-half estimate.** Neither bench built one. Everything we cite for the second half is the company's guidance minus the first half that already printed. We currently have zero analytical distance from the street on the number that decides the next six months.
- **Seasonality in customer account balances.** The 10.2% decline is audited fact; whether it reflects customers leaving or normal seasonal movement is not established. Two prior years of the same line would settle it and neither bench pulled them.
- **Currency of earnings.** How much of profit is earned in euros versus dollars, and therefore how much of the euro debt is naturally hedged. Red asserted the exposure is unhedged; blue showed the wallets earn in euros. Neither produced the split.
- **Whether the first-half cash flow is operating cash or settlement timing.** Paysafe holds customer money; movements in that float can flatter or depress operating cash without any

economic change. The filings do not separate it clearly enough for us to tell.

- **Merchant concentration.** Would require reading the 20-F risk factors; not done.
- **The peer cohort definition.** Flagged as unread in the original brief and still unread after both benches. It is the reason the “de-rated less than peers” claim collapsed.
- **Whether the Q2 capital-spending jump (+45%) is a one-off or a new run rate.** This single line is the difference between the cash engine having stalled and having merely paused.
- **App-review evidence remains plausible-only** — under one review per day is too thin to carry weight, and paysafecard never resolved.

Final honest summary: our original brief reached the right conclusion (stay flat) through three wrong numbers — the share count, the guidance status, and the peer comparison. The red bench corrected those and then made two errors of its own in the same style: it claimed debt was flat when \$82 million was actually repaid, and it annualized a single vesting-heavy quarter into a 7% dilution rate while the trailing year had retired 12% of the company. The blue bench caught both, and then found the thing neither of the others had: the cash engine went negative in Q2 and leverage rose. Three passes, and the case only became clear on the third. Court-worthiness stands at 5/10.

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